

## Outlook

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|------|-----------------------------------------------------------------|
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## The pass/fail line may be hiding fragile approvals

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Hi,

This came up in a working session and nobody had the same definition.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: product and term explain the outcome; thin discretionary income predicts later stress; or verified expenses or income quality create the main uncertainty.

Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases. We looked at a version of this before. For the January 2020 review, please show what changed and whether the earlier conclusion still holds.

What we need to decide is whether policy buffers, verification or monitoring should change. Please bring a model-ready table, data dictionary and an honest baseline, including a few cases we can trace from source to conclusion.

The available evidence is the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Thank you